

TIMELY LIFELINE

The DPIIT has extended the five-year timeline to 10 years for start-ups to convert debt investment into equity shares, providing a breather to early-stage firms who require longer gestation and higher investments to build products and generate revenue. It gives them time to establish their business before starting to pay back debt.

—BINU PAUL



PHOTO BY PANKAJ NANGIA



The hotter, the better

AFTER SUFFERING from subdued demand in the past two years, the country's air conditioner makers are gearing up for a bumper sale in 2022. With the Indian Meteorological Department forecasting an early summer and heat waves across north India, AC sales are set to surge by healthy double digits. Typically, the March-June period accounts for 65 per cent of annual AC sales. Industry veteran and Godrej Appliances' Executive Vice-President Kamal Nandi expects the AC market to get a boost despite imminent price hikes, as the Covid-19 fear recedes and summer temperatures rise.

—ARNAB DUTTA



RATE CUT

The Employees' Provident Fund Organisation (EPFO) has reduced the interest rate on provident fund deposits to 8.1 per cent for 2021-22, the lowest in 40 years—it was at 8 per cent in 1977-78. The decline in rates will hit 60 million subscribers of EPFO. Will the interest rates for other small savings schemes also be slashed? Rates do tend to change in tandem. Sukanya Samriddhi Account has an interest rate of 7.6 per cent, Senior Citizens Savings Scheme has 7.4 per cent, and Public Provident Fund (PPF) 7.1 per cent.

—TEENA JAIN KAUSHAL

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RESILIENT MARKETS

The Indian stock market is proving to be a resilient one if one looks at the correlation between the fall in the Nifty—or even the broader indices—and selling by foreign portfolio investors (FPIs). An analysis by ICICI Securities shows FPIs sold over \$36 billion in the past one year—more than the \$28 billion during the 2008 Global Financial Crisis. Yet, the indices dipped around 15-20 per cent, compared to 70 per cent in 2008. Reason: strong inflows from domestic institutional investors.

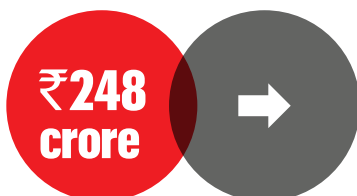
—ASHISH RUKHAIYAR

INTEL GOES TO EUROPE

India proposes, Intel disposes. Three months after India announced its ambitious semiconductor scheme and Union Minister Ashwani Vaishnaw invited Intel to India (on Twitter), the US chip giant has announced it would invest €80 billion in the European Union over the next decade.

This includes a semiconductor fab mega-site in Germany, an R&D and design hub in France; and R&D, manufacturing and foundry services in Ireland, Italy, Poland and Spain. Intel says this will address the need for a balanced and resilient supply chain.

—NIDHI SINGAL



NET OUTFLOWS FROM GOLD ETFs IN FEBRUARY, MAKING IT THE SECOND CONSECUTIVE MONTH OF WITHDRAWALS AS INVESTORS PREFERRED EQUITIES OVER OTHER SEGMENTS ON ROBUST SIP FLOWS. NET OUTFLOWS FROM GOLD ETFs WERE AT ₹452 CRORE IN JANUARY